THE TOYON PROJECT, LLC v FREITAS, JR., et al

24CV47564

PLAINTIFF'S APPLICATION FOR WRIT OF ATTACHMENT

On August 20, 2024, The Toyon Project, LLC ("Plaintiff") filed a verified complaint for breach of contract and declaratory relief against Sunset Foundry, Inc. ("Sunset"), David M. Freitas, Jr. ("David"[2]) and Michael K. Freitas ("Michael") (collectively "Defendants"). Plaintiff filed an ex parte application for a temporary protective order and an order for writ of attachment; on September 4, 2024, the Court issued a temporary protective order prohibiting Defendants from selling or disposing of any assets until the instant hearing on the writ of attachment.

I. Background

Plaintiff is the owner of real property commonly known as 3474 Toyon Circle, Valley Springs ("Property"). In August of 2006, Plaintiff and Defendants entered into a commercial lease agreement to use the Property for the purpose of operating a foundry ("Lease"). David also gave a personal guarantee, regarding, inter alia, the payment of all rents and other sums payable under Lease.

Between September 2006 and November 30, 2023, either by delinquent payment or repeatedly missing payments altogether, Defendants failed to pay rent when due under Lease. On February 28, 2024, Plaintiff and Defendants entered into an additional written contract ("Forbearance Agreement"). Pursuant to the Forbearance Agreement, Defendants agreed that they owed the principle sum of unpaid rent in the amount of $240,975.00, plus late fees, under the Lease. Defendants would arrange for payments of all past due sums on or before April 30, 2024, and Plaintiff would be granted a security interest in all of the equipment owned by Sunset ("Equipment").

Plaintiff alleges that Sunset has relocated Equipment to California Electric Steel in Angels Camp, California, and are selling same and keeping the proceeds from Plaintiff. (Application for Writ of Attachment, Attachment 7 & 13(b), hereinafter "Smith Decl"., ¶ 8.)

II. Legal Standard

Code of Civil Procedure Section 483.010(a) provides:

[2] Due to the common last name of the Defendants, the Court uses their first names. No disrespect is intended.

> [A] n attachment may be issued only in an action on a claim or claims for money, each of which is based upon a contract, express or implied, where the total amount of the claim or claims is a fixed or readily ascertainable amount not less than five hundred dollars ($500) exclusive of costs, interest, and attorney's fees." (Code Civ. Proc., § 483.010, subd. (a).)

Pursuant to subsection (c): "If the action is against a defendant who is a natural person, an attachment may be issued only on a claim which arises out of the conduct by the defendant of a trade, business, or profession."

Under Code of Civil Procedure section 484.090(a), a court shall issue a right to attach order if it finds that: (1) The claim upon which the attachment is based is one upon which an attachment may be issued, (2) The plaintiff has established the probable validity of the claim upon which the attachment is based, (3) The attachment is not sought for a purpose other than the recovery on the claim upon which the attachment is based, and (4) The amount to be secured by the attachment is greater than zero. The burden is on the moving party to establish these elements. (*Loeb & Loeb v. Beverly Glen Music, Inc*. (1985) 166 Cal.App.3d 1110, 1116.)

"A claim has 'probable validity' where it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim." (Code Civ. Proc., § 481.190.) "In determining the probable validity of a claim where the defendant makes an appearance, the court must consider the relative merits of the positions of the respective parties and make a determination of the probable outcome of the litigation."(*Loeb & Loeb*, *supra,* 166 Cal.App.3d at 1120.) The court does not determine whether the claim is actually valid; that determination will be made at trial and is not affected by the decision on the application for the order. (CCP §484.050(b).)

III. Legal Analysis

Applying the above standard, the Court finds Plaintiff is entitled to a writ of attachment.

First, the claim upon which the attachment is based is one upon which an attachment may be issued. The claim is for money based on an express contract with a readily ascertainable amount of more than $500. Defendants apparently are still attempting to sell the property despite there being a protective order prohibiting such sales or disposal. Thus, it is appropriate for Plaintiff to pursue the writ so it can enforce a judgment should it prevail in this action.

Second, Plaintiff has sufficiently demonstrated "it is more probable than not" that it will prevail on its breach of contract claim. To prevail on a breach of contract claim, Plaintiff must establish: 1) the existence of a contract, 2) Plaintiff's performance or excuse for nonperformance, 3) Defendant's breach, and 4) the resulting damages to the Plaintiff. (*San Mateo Union High Sch. Dist. v. Cnty. of San Mateo*, (2013) 213 Cal. App. 4th 418, 439.) Here, Plaintiff has demonstrated the existence of the original agreement under which Defendants were to pay rent. Plaintiff has established that it performed pursuant to the contract by leasing the property as promised to Defendants. Defendants have breached the contract by failing to pay rent. Finally, Plaintiff has shown it has been damaged as a result of the breach.

Third, there is no evidence or suggestion that Plaintiff has an "ulterior motive other than to breach a cause of action given to him by California law." (Code Civ. Proc. § 484.090(a)(3).) Plaintiff seeks to attach Sunset's property as a means of satisfying any future judgment it may obtain on its underlying claims.

Finally, the amount to be attached is greater than zero.

Plaintiff has sufficiently carried its burden of establishing its right to a writ of attachment.

IV. Conclusion

Plaintiff's application for writ of attachment is **GRANTED**. Pursuant to Code of Civil Procedure section 489.220(a), Plaintiff shall file an undertaking in the amount of $10,000.00.

The Clerk shall provide notice of the Ruling forthwith. Plaintiff to prepare a formal Order conforming to this Ruling pursuant to Rule 3.1312.

DISCOVER BANK v MASON

CF8837

DEFENDANT'S CLAIM OF EXEMPTION

On April 29, 2010 judgment creditor Discover Bank ("Discover") obtained a judgment against defendant Laverne Mason ("Mason") in the amount of $10,609.80 with a current balance to satisfy of $18,204.00. After Discover filed a renewal of judgment, the Court issued a new Writ of Execution on April 26, 2024. After Lassen County withheld funds, Mason filed a claim of exemption. Discover has withdrawn its opposition to the claim of exemption.

Code of Civil Procedure section 706.050(a) states:

> Except as otherwise provided in this chapter, the maximum amount of disposable earnings of an individual judgment debtor for any workweek that is subject to levy under an earnings withholding order shall not exceed the lesser of the following: (1) Twenty-five percent of the individual's disposable earnings for that week. (2) Fifty percent of the amount by which the individual's disposable earnings for that week exceed 40 times the state minimum hourly wage in effect at the time the earnings are payable.

Mason states that her monthly pay is $4,881.19. From this monthly amount, Mason claims that $415.47 is deducted for federal and state withholding, $115.37 for state tax, and that her monthly take home pay after taxes and deduction, $302.18 for health insurance, and $2.00 for "RPESJC Duc." Mason therefore states that her monthly take home pay is $4,046.21. After expenses, Mason states that her disposable income is $104.56. Mason does not state how often she is paid.

Mason states her disposable income is $104.56 per month. That amount divided by four results in Mason having $26.14 per week in disposable income. Twenty-five percent of $26.14 is $6.54.

Accordingly, pursuant to Code of Civil Procedure section 706.050(a)(a), **Lassen County shall withhold $6.54 per week until the judgment is satisfied**.

The Clerk shall provide notice of the Ruling forthwith. Plaintiff to prepare a formal Order conforming to this Ruling pursuant to Rule 3.1312.